

view it through an either/or lens. “Insurance decisions are influenced by operational requirements, trading routes, lender expectations and regulatory considerations. Over time, the market will determine the optimal balance between domestic and international coverage solutions,” says Hajee.

International counterparties, including lenders, ship charterers and port authorities, operate within frameworks that carry deeply established expectations around insurer recognition and financial standing.

Bhatikar says certificates issued by international P&I Club members carry legal weight across virtually every major port and arbitration forum in the world. For BMIP to achieve that recognition will require time, demonstrated performance, and a track record of credible claims settlement.

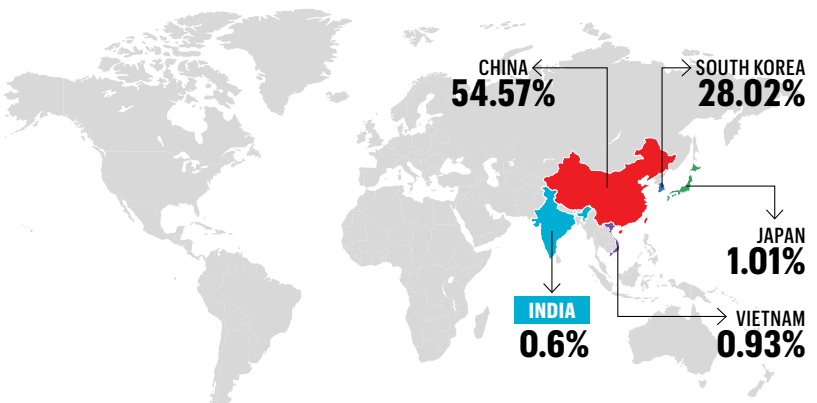
“Where BMIP’s value becomes immediately apparent, and potentially indispensable, is in scenarios where international coverage is withdrawn or rendered commercially untenable. War-risk coverage in volatile corridors such as the Red Sea and the Strait of Hormuz is the clearest example,” says Bhatikar.

“In such situations, BMIP serves not merely as a complement but as the only viable alternative, ensuring that Indian trade is not held hostage to decisions made in foreign insurance markets in response to geopolitical developments entirely outside India’s control. That function alone justifies its existence,” he says.

The sustainability of any domestic maritime insurance framework will depend on active participation by shipowners, operators, insurers, brokers and other maritime stakeholders, says Buch.

ROOM TO GROW

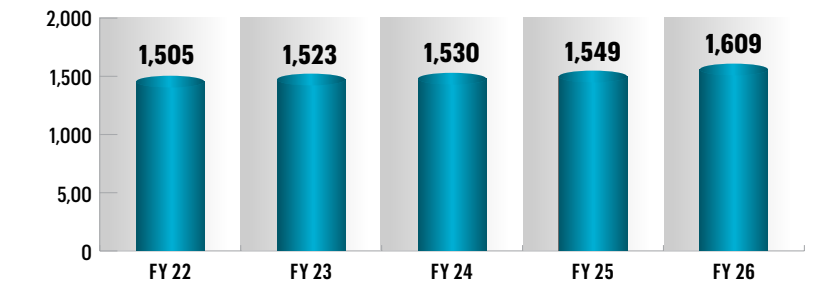
- At 9th position, the share of the Indian flag fleet is 0.6% of global tonnage



NOTE SHARE OF GROSS TONNAGE SOURCE UNCTAD

SMOOTH SAILING

- The number of Indian ships grew from 1,549 in FY25 to 1,609 in FY26



SOURCE DG SHIPPING

SAILORS’ DEATHS

The recent deaths of Indian seafarers in the Gulf region show that compensation and accountability are complex matters when dealing with foreign insurers.

BMIP could facilitate rapid financial support, coordinated repatriation, emergency assistance to families and offer institutional support for Indian seafarers

caught in geopolitical events that may not fit neatly within traditional insurance categories.

Under the current framework, Indian crew members aboard vessels insured through European P&I Clubs are subject to foreign arbitration processes, regulatory considerations and the complications of sanctions regimes that can delay or compli-